

FEDERAL MARITIME COMMISSION

M.E. DEY & CO., INC.,

Complainant,

v.

HAPAG-LLOYD AG AND HAPAG-LLOYD
(AMERICA) LLC,

*Respondents and Third-Party
Complainants,*

v.

CSX TRANSPORTATION, INC.,

Third-Party Respondent.

Docket No. 22-35

Served: December 5, 2025

BY THE COMMISSION: Rebecca F. DYE,
Daniel B. MAFFEI, Max M. VEKICH, *Commissioners.*

**Order Affirming Initial Decision Approving Confidential
Settlement Agreement and Vacating Order Granting Third-
Party Respondent's Motion to Dismiss Third-Party Complaint**

I. INTRODUCTION

On May 17, 2024, the Administrative Law Judge (ALJ) issued an Order Granting Third-Party Respondent CSX Transportation, Inc.'s Motion to Dismiss the Third-Party Complaint and Resetting Briefing Schedule (Order). No exceptions were filed by the Third-Party Complainant or any other party. On June 14, 2024, the Federal Maritime Commission (Commission) determined to review the Order. While the Commission was reviewing the Order, on August 27, 2024, the ALJ served an initial decision approving a confidential settlement agreement between Complainant M.E. Dey & Co., Inc. (Dey) and Respondents/Third-Party Complainants Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (collectively Hapag). CSX Transportation, Inc. (CSXT) opposed the settlement on the grounds that it did not resolve the issues raised in the third-party complaint, which was before the Commission on review. On September 26, 2024, the Commission issued a notice that it had determined to review the ALJ's initial decision approving the settlement agreement as well. Both matters are before the Commission.

For the reasons discussed below, the Commission affirms the ALJ's initial decision approving the settlement agreement and dismisses as moot the third-party complaint.

II. BACKGROUND

On December 16, 2022, Dey filed a complaint against Hapag alleging that Hapag violated the Shipping Act at 46 U.S.C. §§ 41102(c) and 41104(a)(14).

Hapag filed a third-party complaint on May 11, 2023, against Third-Party Respondent CSXT. On June 5, 2023, CSXT filed a motion to dismiss the third-party complaint. Dey, Hapag, and CSXT subsequently filed their response, opposition, and reply. On May 17, 2024, the ALJ issued an Order granting CSXT's motion to

dismiss and dismissing Hapag's third-party complaint against CSXT.

In its third-party complaint, while stating that CSXT acted “as the rail carrier” and “as the subcontractor of Hapag,” Third-Party Complaint at 4, 6, Hapag alleged that CSXT violated 46 U.S.C. § 41102(c), which by its terms regulates common carriers, marine terminal operators, and ocean transportation intermediaries. With respect to 46 U.S.C. § 41104(a)(14), which generally regulates common carriers, Hapag alleged that CSXT violated the section because it acted as “any other person” as described in the section. *Id.* at 7.

For Hapag's Section 41102(c) claim, CSXT argued that “the Third-Party Complaint alleges that CSXT ‘is a rail and intermodal transportation carrier,’” and that “Hapag has not sufficiently alleged a basis for subject matter jurisdiction for the claims alleged against CSXT in the Third-party Complaint.” CSXT Memorandum at 8. CSXT claimed that “[it] is not a regulated entity for which the Commission has jurisdiction for the purpose of a Section 41102(c) claim.” *Id.* at 15. CSXT further alleged that:

[Section] 41104(a) applies to violations by common carriers, whether acting alone or in conjunction with ‘any other person,’ and an allegation that an entity was such a ‘person’ acting alongside the common carrier does not transform the entity into an ocean common carrier subject to the Commission's jurisdiction. Indeed, the allegation actually highlights that *Hapag* is the entity subject to jurisdiction under Section 41104(a)(14).

Id. at 17.

While the Commission was reviewing the ALJ's Order dismissing the third-party complaint, Dey and Hapag agreed to a settlement. The ALJ issued the initial decision approving the settlement agreement between Dey and Hapag and dismissing Dey's complaint.

III. DISCUSSION

A. Initial Decision Approving Confidential Settlement Agreement

On June 17, 2024, Dey and Hapag filed a Joint Motion for Approval of Confidential Settlement Agreement (Settlement Motion). On August 27, 2024, the ALJ issued an Initial Decision Approving Confidential Settlement Agreement (I.D.). The ALJ stated that "[t]he Commission has a strong and consistent policy of 'encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.'" I.D. at 1-2 (citations omitted). The ALJ noted that in the settlement motion, "Dey and Hapag state their mutual desire to discontinue this proceeding in its entirety upon approval of the confidential settlement agreement." *Id.* at 3 (citing Settlement Motion at 4).

The ALJ stated that: "the parties have established that the settlement agreement . . . does not appear to violate any law or policy, or contain other defects which might make it unapprovable"; "The parties are represented by counsel and have engaged in arms-length settlement discussions"; and "The parties have determined that the settlement reasonably resolved the issues raised in the complaint without the need for costly and uncertain litigation." I.D. at 4.

The settlement agreement was reached between sophisticated business entities represented by counsel. There is no reason to believe that the settlement was not fair and not entered into knowingly and voluntarily.

B. Order Granting Third-Party Respondent CSX Transportation, Inc.'s Motion to Dismiss the Third-Party Complaint and Resetting Briefing Schedule

As the settlement between Dey and Hapag is approvable under usual Commission standards, the settlement also clarifies that the matter with respect to CSXT is moot. The third-party proceeding was contingent upon the proceeding between Dey and Hapag, which is now resolved.

IV. CONCLUSION

The Commission hereby:

- (1) **AFFIRMS** the Initial Decision approving the joint Settlement Motion by Dey and Hapag dismissing Dey's complaint;
- (2) **VACATES** the Order granting CSXT's Motion to Dismiss Hapag's Third-Party Complaint;
- (3) **DISMISSES** as moot Hapag's Third-Party Complaint against CSXT; and
- (4) **ORDERS** that this proceeding is **DISCONTINUED with prejudice in its entirety**.

By the Commission.

David Eng
Secretary